

Trends in Whole Numbers

<i>Total Sales</i>	<i>COGS</i>	<i>Gross Profit</i>	<i>Operating Profit</i>	<i>Net Profit</i>	<i>YoY Growth</i>	<i>Sales%</i>	<i>Year</i>
115962	82613	33349	15,025.00	7354			2019
118781	84016	34765	16,061.00	8885		2%	2020
133295	92803	40492	21,578.00	12768		12%	2021
162516	112886	49630	26,779.00	15050		22%	2022
200605	129845	70760	34,553.00	16493		23%	2023
193206	123682	69524	29,549.00	14808		-4%	2024
924365	625845	298520	143,545.00	75358			

Trends in Percentages

<i>Total Sales</i>	<i>COGS</i>	<i>Gross Margin%</i>	<i>Operating Profit%</i>	<i>Net Margin%</i>	<i>YoY Growth</i>	<i>Sales%</i>	<i>Year</i>
115962	82613	29%	13%	6%			2019
118781	84016	29%	14%	7%		2%	2020
133295	92803	30%	16%	10%		12%	2021
162516	112886	31%	16%	9%		22%	2022
200605	129845	35%	17%	8%		23%	2023
193206	123682	36%	15%	8%		-4%	2024
924365	625845	32%	16%	8%			

Nestle Pakistan - Financial Performance Overview | FY 2019-2024 |

193K

Total Sales

15K

Net Profit

8%

Net Margin%

70K

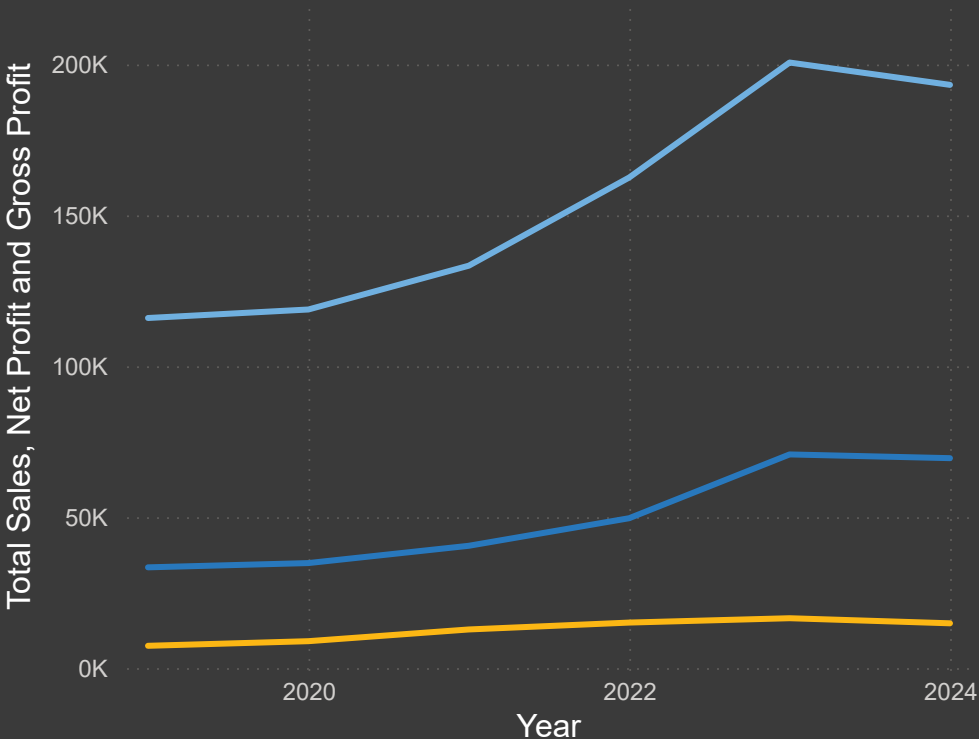
Gross Profit

36%

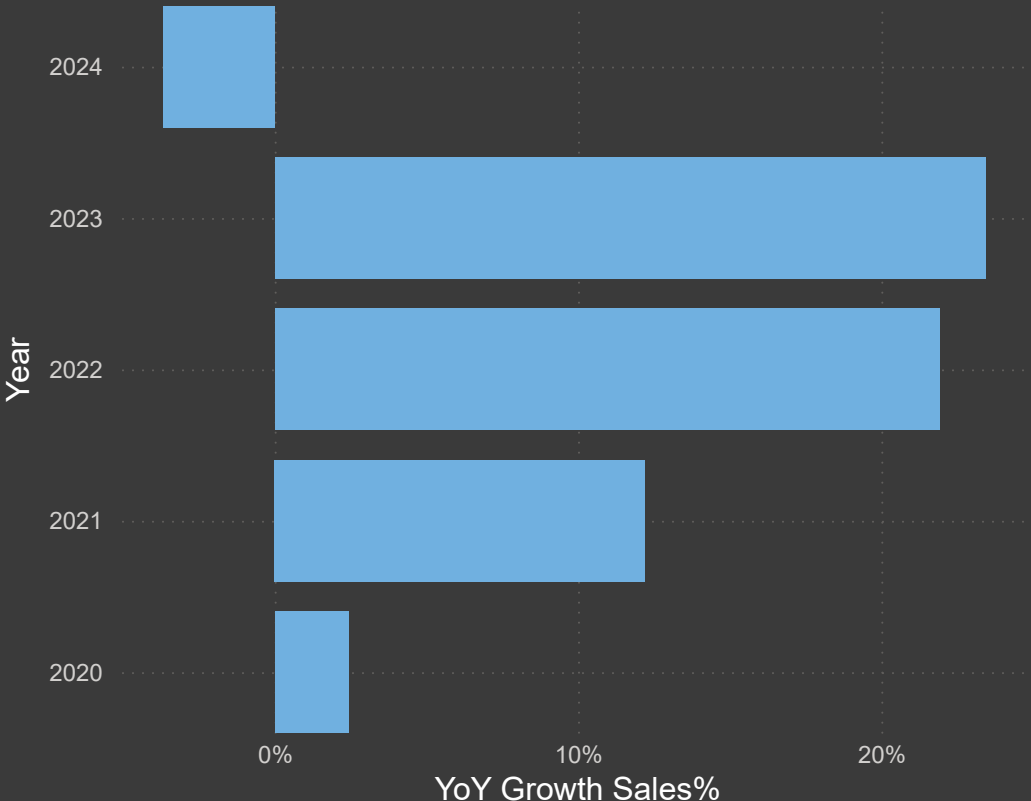
Gross Margin%

Total Sales, Net Profit and Gross Profit by Year

● Total Sales ● Net Profit ● Gross Profit



YoY Growth Sales% by Year



Insights;

Margin vs Volume

1. Despite a 4% decline in sales in FY2024, gross margin expanded to 36% (from 28.8% in FY2019)
2. The company prioritized cost efficiency and pricing power over volume growth amid inflationary pressure

Gross margin vs Net margin gap

1. Gross margin improved by 7% over the period, net margin remained relatively flat (~6-9%)
2. This indicates rising operating or finance costs

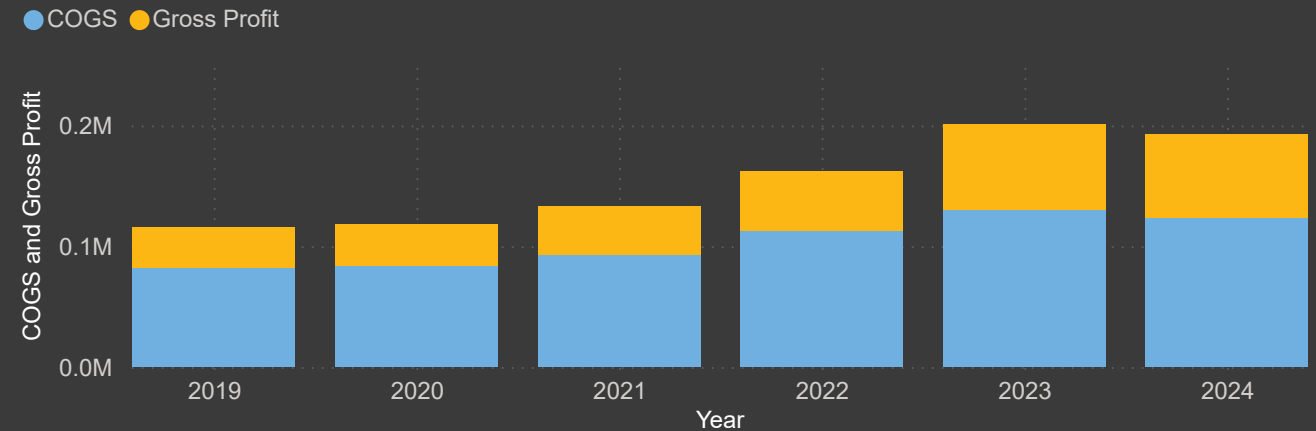
Growth momentum reversal

1. Sales grew consistently from FY2020 to FY2023 before reversing to -4% in FY2024
2. The first decline in the five-year period, warranting further investigation into demand or macroeconomic factors.

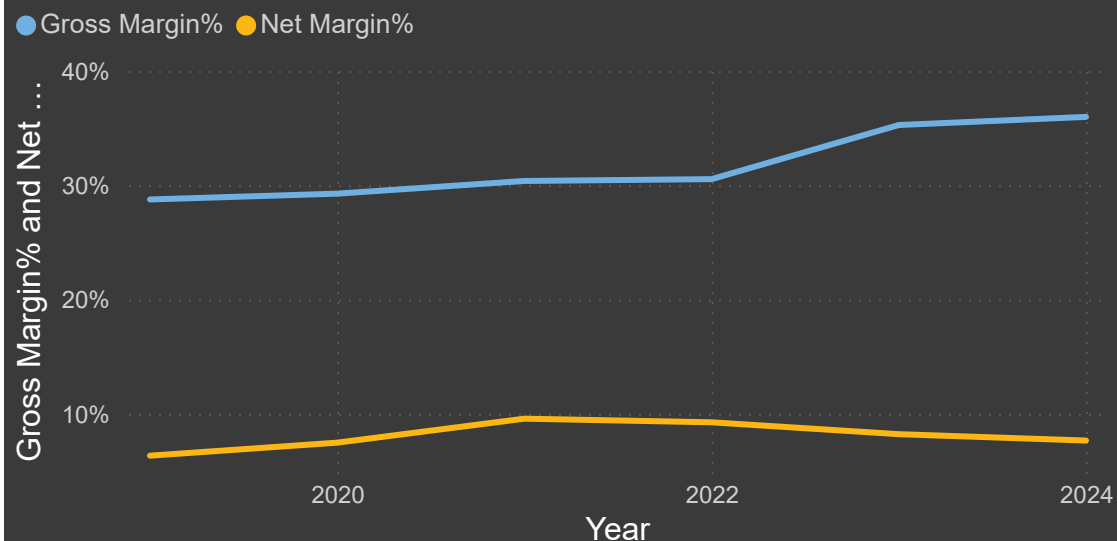
Nestle Pakistan - Profitability Analysis | FY 2019-2024 |

Year	Gross Margin%	Net Margin%	Operating Profit%
2019	29%	6%	13%
2020	29%	7%	14%
2021	30%	10%	16%
2022	31%	9%	16%
2023	35%	8%	17%
2024	36%	8%	15%
Total	32%	8%	16%

COGS and Gross Profit by Year



Gross Margin% and Net Margin% by Year



Insights;

Cost structure

1. COGS as a percentage of sales declined from ~71% in FY2019 to ~64% in FY2024
2. Shows an improvement in cost efficiency, maybe due to economies of scale, better sourcing, or pricing adjustments, rather than one-off gains.

Margin expansion

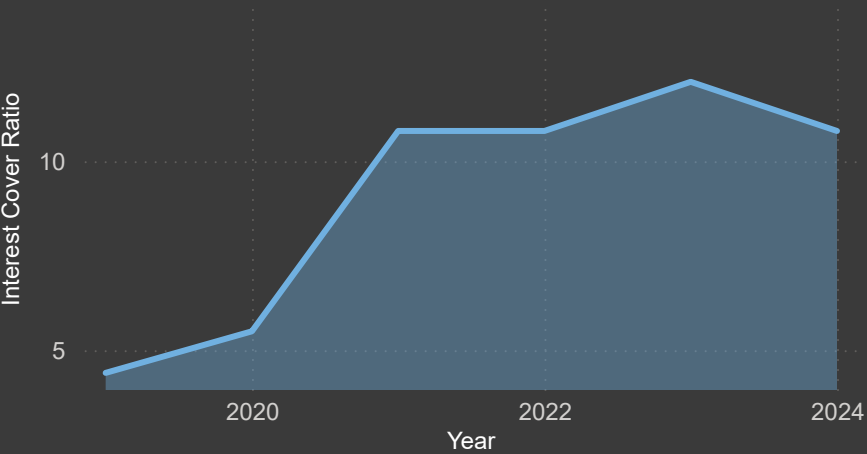
1. Gross margin expanded by ~7% over five years even as sales growth decreased and reversed in FY2024
2. This indicates that the company's profitability gains came from operational efficiency rather than revenue growth alone.

Gap b/w gross and net efficiency

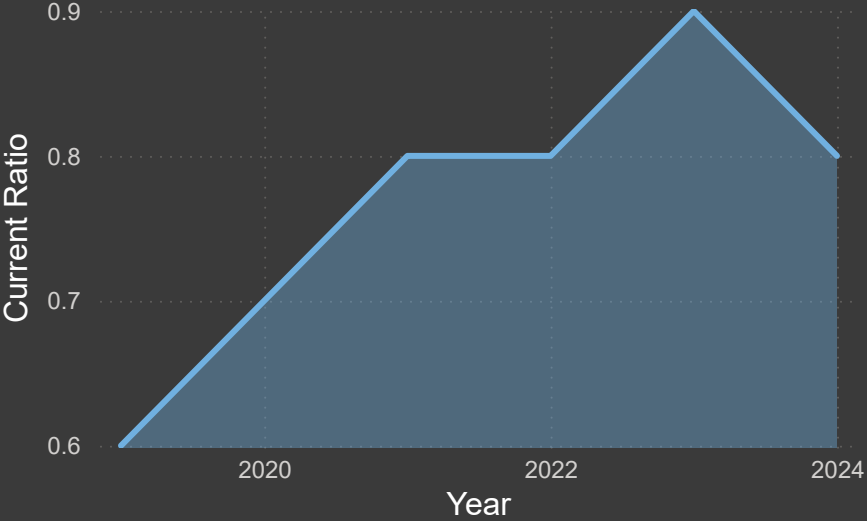
1. Despite consistent gross margin improvement, net margin has remained range-bound (6-9%)
2. This says that a meaningful portion of gross-level gains is being absorbed below the operating line

Nestle Pakistan - Liquidity & Solvency Analysis | FY 2019-2024 |

Interest Cover Ratio by Year



Current Ratio by Year



0.80

Current Ratio

22.00

Debt Percentage

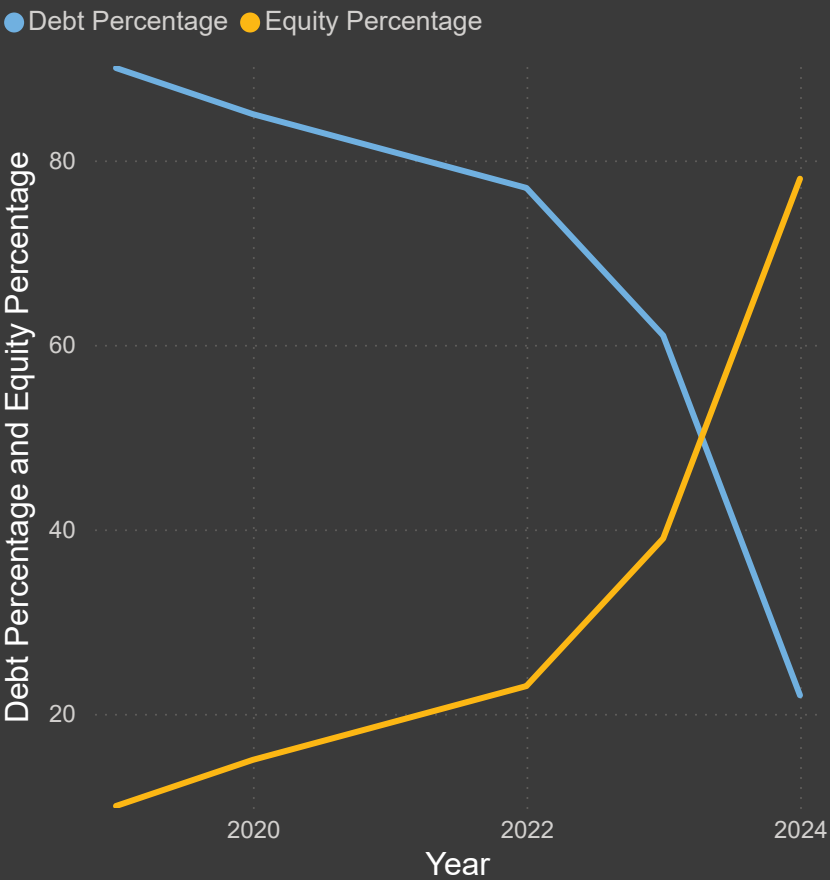
10.80

Interest Cover Ratio

11.02K

Long Term Liabilities

Debt Percentage and Equity Percentage by Year



Insights;

Sub-1.0 current ratio

1. Current ratio stayed below 1.0 across FY2019-2024
2. This is common in FMCG due to fast inventory turnover

Major deleveraging

1. Debt-to-equity shifted from 90:10 (FY2019) to 22:78 (FY2024)
2. company significantly reduced debt reliance.

Stronger interest coverage

1. Interest cover improved from 4.4x to 10.8x
2. This reflects the lower debt burden and stronger earnings.

Nestle Pakistan - Efficiency Analysis | FY 2019-2024 |

4.10

Inventory Turnover Ratio

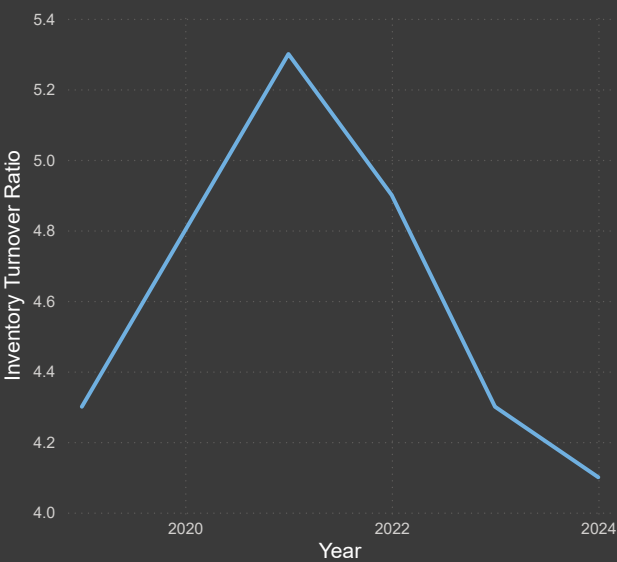
6.21K

Net Working Capital

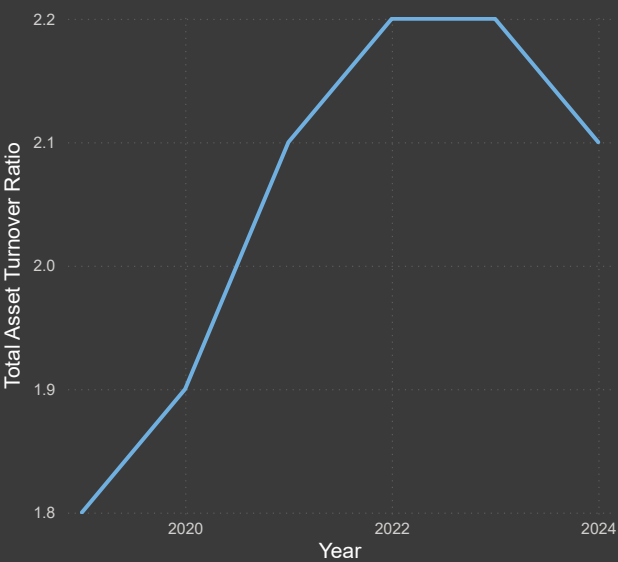
2.10

Total Asset Turnover Ratio

Inventory Turnover Ratio by Year



Total Asset Turnover Ratio by Year



Insights;

Inventory turnover slowdown

1. Inventory turnover declined from 5.3x (FY2021) to 4.1x (FY2024)
2. Inventory is moving slower, tying up more cash.

Stable asset efficiency

1. Total assets turnover stayed steady around 2.0-2.2x
2. The company consistently generates ~2x its asset base in sales.

Strong capital returns

1. ROCE stayed well above 100% for most years (peaking at 153% in FY2023),
2. This reflects highly efficient use of capital though it dipped to 132% in FY2024